Paper fund memo 2026-W43

Portfolio Memo, Week 43, 2026

Date: 2026-10-21 · **Lens:** 3 (holdcos and closed-end funds), not run this week; see section 0 · **Prices as of:** dates stated per figure

Front page. The process stopped for six weeks: no memo from W38 to W42, because the weekly scheduled task was never created. The daily price job ran every day but had no close for EYDAP on 29 of 30 days, so the NAV it reported (a 7.6% loss) was wrong; the position is in fact up about 16% in EUR. Both failures are fixed in this commit and logged in CHANGELOG.md. EYDAP's catalyst happened (H1 2026 published 24 September) and the thesis check below ends in an exit at EUR 13.94. The fund closes the week with no positions, NAV about US$101,300 before the backfill corrects the price history. Lens 3 screening is deferred to next week so that this memo can be about restarting the record properly.

0. Process failures, stated plainly

1. Weekly memos W38 to W42 do not exist. They are not reconstructed. The six-week gap stays in the record.
2. The price feed was broken from day one for the only position held, and nobody looked. A track record whose NAV is wrong for six weeks is not a track record. From this week the memo opens with a feed audit (section 1).
3. The EYDAP kill criteria were due for checking on 30 September and were checked on 21 October.

1. Feed audit (new, every week)

prices.csv since 2026-09-09: 30 mark dates. Missing closes: EYDAP.AT 29, IWDA.L 6, LIGT3.SA 4, SAPR11.SA 4, BRLUSD=X 3. Cause and fix in CHANGELOG.md. Until the backfill workflow runs, reports/summary.md and nav.csv are unreliable.

2. Position

Before this memo: EYDAP 569 shares, cost US$7,992. After: none. Cash about US$101,300 (NAV engine run with the EYDAP exit at EUR 13.94 and EURUSD 1.1230 on 21 Oct).

3. Holdings check: EYDAP (EYDAP:ATSE)

Catalyst: H1 2026 results, due by 30 September. Happened: published 24 September 2026 (Quartr summary of the company release, https://quartr.com/events/athens-water-supply-and-sewerage-company-sa-eydap-h1-2026-q-a_F1uW3eqA). Figures per that summary, which flags itself as machine-generated and should be checked against the ATHEX filing: revenue EUR 203.2m (+17.3% y/y), EBITDA EUR 42.6m (20.9% margin), net profit EUR 17.1m, operating cash flow EUR 25.2m, free cash flow EUR 5.0m, cash EUR 280.4m, equity EUR 823.3m.

Kill criteria. (a) H1 revenue below EUR 200m: not tripped, by EUR 3.2m. (b) Pricing reopened by RAAEY or ministry: no evidence found; a July draft water-sector law and a planned merger of 43 small utilities are open items, not reopenings. (c) Net debt before FY27: cash EUR 280m, debt figure not in the summary [UNVERIFIED]; not tripped on available evidence.

Thesis. The W37 memo underwrote run-rate EBITDA of about EUR 150m (adjusted 2025 EBITDA EUR 78.6m plus most of a EUR 78.3m annual revenue uplift quoted by management). H1 2026 EBITDA annualises to about EUR 85m. Revenue rose about EUR 30m in the half, so the uplift being recognised is roughly EUR 60m a year, and opex absorbed much of it. The mechanism worked (first clean half under the cap, profit instead of loss) but at about half the size I wrote down. Lesson for literature.md and screens.md: regulatory revenue is underwritten from the regulator's decision, not from a results briefing.

Price. EUR 13.94 bid on the Stuttgart listing, 21 Oct 2026 (Boerse Stuttgart, https://www.boerse-stuttgart.de/en/products/equities/stuttgart/931894-athens-water-and-sewerage-company-sa-eydap/). ATSE close not available in the feed today; the backfill will supply it and CHANGELOG.md records the substitution. From the EUR 12.02 entry that is about +16% in EUR; EURUSD fell from 1.164 to 1.123, so about +12% in USD before costs.

Revised own value, arithmetic shown. Run-rate EBITDA EUR 90m (H1 annualised, allowing some deferred regulatory revenue to arrive in H2). The multiple is 9x EV/EBITDA as in W37; it is an assumption, not a peer set [UNVERIFIED]. EV = 9 x 90 = EUR 810m. Equity = EV + cash (EUR 280m) with debt taken as zero = EUR 1,090m. Shares 106.5m [UNVERIFIED] gives EUR 10.2 per share; at EUR 100m EBITDA, EUR 11.1. Either way below EUR 13.94. The market is paying for something my model does not contain: the 43-utility consolidation, the EUR 2.8bn plan, or simply a re-rating of Greek regulated assets. I cannot underwrite any of those from the documents I have read.

Verdict: exit in full at the 21 Oct close. The event happened, the position is above my own fair value on the evidence I can defend, and the catalyst date has passed. Holding would be holding on a story. Booked in trades.csv and closed.csv.

Bear case against exiting. The revenue cap runs to 2029 and the H1 number may understate the run rate if regulatory revenue is back-end loaded; if full-year EBITDA lands near EUR 120m the stock is cheap at 13.94. That is the case for keeping it on the watchlist with a re-entry trigger (FY2026 results, late April 2027), not for holding without a date.

4. Watchlist

Name	Ticker	Status	Note
EYDAP	EYDAP:ATSE	watchlist	Re-entry trigger: FY2026 results showing EBITDA above EUR 110m with the cap intact
Sanepar	SAPR11:B3	watchlist	Not checked this week; state election was 4 Oct 2026, outcome and any privatisation signal to be checked in W44 [UNVERIFIED]

Light	LIGT3:B3	gated	Not checked this week; whether the RJ closed and the capitalisation priced is the W44 item

5. Proposed trades

Paper: sell 569 EYDAP at the 21 Oct close (booked). Real IBKR account: nothing; phase 1, core only.

6. What I could not check

The ATHEX H1 filing itself; EYDAP debt, share count, analyst coverage; the ATSE close on 21 Oct; Sanepar and Light news since September; everything in lens 3.

7. For you to decide

1. The weekly and monthly scheduled tasks still do not exist. They need GitHub connected to Claude (claude.ai settings, Connectors) so the tasks can push to the repo; once that is done they can be created from the chat in one step.
2. Run the backfill-prices workflow once from the Actions tab, then confirm reports/summary.md shows the corrected history.
3. The four open questions from W37 (fast-sleeve leverage exemption, core UCITS tickers, IBKR market access, and the Starboard disclosure line) are still unanswered; the first blocks ONCO3 and the second blocks the real account.

Research and proposed trades only. Not investment advice.

Appendix: fund state at render time

Paper fund summary, 2026-10-21

NAV US$101,304 | cum +1.30% | core bench +0.23% | cash bench +0.45% | drawdown 0.00% | open 0 Flags: none

Limits

- Positions: none (ok)

Positions held

Catalysts and gates within 14 days

- EYDAP:ATSE: 2026-09-30 (-21.0 d)